MINUTES

THE CENTRAL BANK OF ARMENIA BOARD MEETING (14.03.2023)

On the refinancing rate

The Central Bank Board Meeting of March 14, 2023 attended by Governor M. Galstyan, Deputy Governors A. Nurbekyan and H. Khachatryan, and Board Members H. Ghahramanyan, D. Nahapetyan, A. Manukyan, L. Sahakyan, and N. Ghazaryan

The Board meeting opened with reporting on the situation as of March 14, 2023. It addressed the developments on inflation, external environment, and real, fiscal, financial, and monetary sectors of the economy.

Current developments in the external sector were presented. It was reported that in the first quarter of 2023, the trends of economic activity slowing down in the world economy and the partner countries to Armenia continued, although a certain revival of the economy in the short-term perspective is expected amid easing of pandemic restrictions in China. In the face of continued tightening of financial conditions, the international commodity markets report price decreases, for food products and oil in particular, which also contributes to the decelerating of inflation around the globe. However, the overall inflationary environment remains elevated because of persisting high demand and pressures deriving from the labor market. Under these conditions, central banks of developed countries will further tighten monetary conditions in the near future. As a result of such actions, the global demand will gradually slow down and prices in international commodity markets will decrease, facilitating the global inflationary environment to mitigate and helping the inflationary effects, transmitted from the external sector to the Armenian economy, to weaken.

The Board of the Central Bank referred to the latest developments taking place in the US financial market, discussing in detail their effects on and risks to the US economy, as well as the channels and scenarios of possible spillovers to the Armenian economy.

The developments in the Armenian financial market were addressed; in the banking system, it was noted, the demand for providing liquidity through the main instrument of the Central Bank of Armenia kept on contracting in the course of the first quarter of 2023. However, short-term interest rates in the market were largely shaped around the policy rate. It should be noted that the country risk-premium of the Republic of Armenia remains at a low level owing to the improved Armenia rating and the effect of some economy-specific factors.

Inflation developments were also presented to the Board; it was stated that 0.1% inflation was registered in February of 2023 driven by 0.3% increase in food products prices and 0.2% rise in service tariffs, whereas the prices of non-food products decreased by 0.6% during the month. **As a result, the 12-month inflation continued to decline to 8.1% at the end of the month. The 12-month core inflation reduced too, reaching 8.4%.** Furthermore, the Board admitted that the overall inflationary environment in Armenia continued mitigating as a result of the contractionary monetary policy implemented by the Central Bank, the dram appreciation and weakening inflationary pressures from the external sector, while also stating that the strong demand and inflation expectations were still facilitating the growth of wages and prices of individual goods and services.

Following the discussion of the Situation Report and the macroeconomic developments in external and domestic sectors, the Board proceeded to addressing the macroeconomic scenarios and monetary policy directions and making decision on the policy interest rate. The Forecasting Team, in view of the aforementioned macroeconomic situation, provided the Board with scenarios describing the monetary risks that would possibly derive from upcoming economic development outlooks. Specifically, considering the possible scenarios of the developments unfolding in the US financial market, the majority of the Board members reckoned that they would not be systemic in nature, while the macroeconomic effects transmitting to the world economy would be weak and minor. The Board members were of the opinion that, on the one hand, the inflationary effects spilling over to the Armenian economy from the external sector continued weakening thanks to the consistent monetary policy of central banks in the main partner countries to Armenia and, on the other hand, strong demand and high inflation expectations were persisting in the Armenian economy. In such a situation, the Board members stated, although the 12-month inflation was expected to subdue notably in the near future, the prices of items in the consumer basket, important in the monetary policy point of view (product groups with rigid prices), were still going up, in which case the Board emphasized the need to be consistent in taking action to handle future inflationary risks. As a result, the **Board of the Central Bank of Armenia made a decision in consensus to leave the refinancing rate unchanged**. The Board also endorsed its commitment in taking adequate measures to stabilize inflation and neutralize any risk of deanchoring of inflation expectations. According to the presented monetary policy scenario, the 12-month inflation will gradually decrease and, starting from the second half of 2023, stabilize around the 4% target.

The Board of the Central Bank estimated that the risks of inflation deviating from the projection path are mostly balanced. In the case of risks materializing in any direction, the Board will adequately react and ensure the price stability objective.

The Board approved the decision on interest rates of monetary instruments of the Central Bank of Armenia and the proposed press release, which are attached hereto.

THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA

BOARD DECISION

ON THE SETTING OF INTEREST RATES OF MONETARY POLICY INSTRUMENTS OF THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA AND THE PRESS RELEASE ON THE REFINANCING RATE

By virtue of Article 2 (3), Article 20 “c” and “e” of the Republic of Armenia Law on the Central Bank, and clauses of the Republic of Armenia Law on Normative Regulations, the Board of the Central Bank of the Republic of Armenia ***enacts:***

1. Set the Refinancing rate of the Central Bank of the Republic of Armenia to be 10.75%.
2. Set the Lombard facility rate offered by the Central Bank of the Republic of Armenia to be 12.25%.
3. Set the Deposit facility rate offered by the Central Bank of the Republic of Armenia to be 9.25%:
4. Approve the Press Release on the Refinancing Rate of the Central Bank of the Republic of Armenia (attached).
5. This decision to take effect on the day following its publishing on Internet homepage of the Central Bank of the Republic of Armenia.

Martin Galstyan *Governor of the Central Bank*

March 14, 2023

PRESS RELEASE
14.03.2023

At the March 14, 2023 meeting, the Board of the Central Bank of Armenia decided to leave the refinancing rate unchanged, at 10.75%.

In February of 2023, the 12-month inflation continued to decrease to 8.1% at the end of the month. The 12-month core inflation reduced as well, reaching 8.4%.

In the first quarter of 2023, the economic growth and the 12-month inflation in the world and main partner countries to Armenia are slowing down. However, the overall inflationary environment continues to remain elevated driven by still high demand and pressures coming from the labor market. Therefore, central banks of developed countries will continue to tighten monetary conditions in the near future. This will lead to a weakening of global demand and contribute to a certain drop in prices in international commodity markets. As a result, the inflationary effects of the global economy on the Armenian economy continue to weaken.

High activity in the domestic economy of Armenia in early 2023 is persisting, which continues to be driven by strong growth recorded in services and construction sectors. High activity is accompanied by increased export and GDP potential observable in industry and service sectors. As a result of the implemented contractionary monetary policy, appreciation of the dram and weakened inflationary effects from the external sector, the overall inflationary environment in Armenia continues to mitigate. However, high demand and inflation expectations are still driving up wages and prices of certain goods and services.

The Board of the Central Bank finds it reasonable to leave the policy rate unchanged. The Board will be consistent in taking appropriate actions to ensure stabilization of inflation and neutralize any risk of deanchoring of inflation expectations. According to the outlined monetary policy scenario, the 12-month inflation will gradually decrease and, from the second half of 2023, will stabilize around the 4% target.

The Board of the Central Bank estimates that the risks of inflation deviation from the projected path are mostly balanced; in the event these risks materialize in any direction, the Board stands ready to respond accordingly in fulfilment of the price stability objective.

Press Service of the Central Bank of Armenia